AI in Plain English: A Glossary for Business

The 15 terms you'll hear most, explained in one or two sentences each.

Artificial intelligence (AI)

Software that performs tasks that normally need human judgement, such as writing, summarising or spotting patterns.

Large language model (LLM)

The engine behind chat assistants. It has read huge amounts of text and predicts useful responses to your instructions.

Prompt

The instruction you give an AI tool. Clear prompts with context and examples get better results.

Hallucination

When an AI states something false with confidence. Always check facts, numbers and citations.

Context window

How much text the AI can consider at once — your prompt plus any documents you share.

Agent

An AI that can take actions — search, use apps, update files — not just answer questions.

Automation

Connecting tools so routine steps happen without manual work, often with AI handling the judgement steps.

Fine-tuning

Further training a model on your own examples. Rarely needed: good prompts and shared documents usually suffice.

RAG (retrieval-augmented generation)

Letting AI look up answers in your own documents before responding, so answers reflect your business.

Guardrails

Rules and settings that keep AI use safe: what data can be shared, who reviews outputs, which tools are approved.